

ApexNova Commerce Group

Customer Management Guidelines - 2022

1. Refund Policy

The organization continues to expand its customer-friendly refund practices in line with industry benchmarks and customer satisfaction data. The refund window has been extended to 21 days from the date of purchase, providing a more generous timeframe that reflects the reality that many customers do not have immediate opportunity to evaluate a product or identify a concern within the first week or two of ownership. Refunds are issued to the original payment method or, as a new option this year, as store credit at the customer's choice. The introduction of store credit as a customer-selectable alternative provides flexibility for situations where the customer may prefer immediate resolution without waiting for a bank processing period, or where they intend to use the funds on a replacement product. A significant change to proof-of-purchase requirements takes effect this year: customers may now present either a physical receipt OR a bank or card statement clearly showing the transaction details (date, amount, and merchant name) as valid proof of purchase. This dual-acceptance approach acknowledges that many customers lose or discard paper receipts but can readily access their banking records. Items must be returned in a condition consistent with reasonable inspection. This means tags may have been removed and packaging may have been opened, provided the product itself is clearly unused and undamaged. This is a relaxation from the previous requirement that all packaging and tags must be intact, and reflects the practical reality that many customers remove tags immediately after purchase without intending to use the item. Partial refunds are now available as a standard option for items with minor damage, calculated at a standard 20 percent deduction from the original purchase price. This provides a clear and predictable outcome for customers returning items with cosmetic defects, eliminates the need for subjective case-by-case negotiation, and gives employees a concrete figure to communicate. The manager approval threshold has been raised to 150 euro, reflecting continued confidence in frontline staff capabilities and reducing unnecessary bottlenecks in the refund process for mid-range transactions. Gift receipts now qualify for store credit refunds. Customers presenting a valid gift receipt may receive store credit to the value of the item, even without knowledge of the original payment method. This addresses a common customer pain point and aligns the organization with standard retail practice. A new automated refund tracking system is being deployed this year that logs all refund transactions electronically, including the reason for return, the condition of the item, the proof of purchase presented, and the refund method selected. This data supports fraud detection, trend analysis, and continuous improvement of the returns process.

2. Theft & Incident Handling

Building on the measured expansion of permitted employee responses introduced last year, the organization is further developing its approach to theft and incident handling with an emphasis on active but safe deterrence, improved coordination with security resources, and faster documentation that supports both immediate response and subsequent investigation. In cases of suspected theft, employees must observe the situation, report to the duty manager, and may now use verbal deterrence when it is safe and appropriate to do so. Verbal deterrence goes slightly beyond the neutral customer service language introduced last year and includes clearly visible staff presence in the area of concern combined with direct but non-accusatory engagement. For example, an employee might say: 'I notice you might need some help with that item - can I assist you at the register?' or 'Let me know if you would like me to find you a basket for those items.' The distinction between verbal deterrence and confrontation must be clearly understood: deterrence communicates awareness and helpfulness; confrontation communicates accusation and challenge. Employees must never cross this line. The tone must remain friendly, the body language open and non-threatening, and the language completely free of any implication of wrongdoing. Physical intervention, blocking exits, or following suspects outside the premises remain strictly prohibited without any exception. These restrictions apply to all employees regardless of their physical capability, confidence level, or personal judgment about the risk involved. A new operational capability this year is that employees may now coordinate directly with in-store security personnel where such resources are available. This means that upon observing a suspected incident, an employee may immediately notify security via the store radio or designated communication channel rather than routing exclusively through the duty manager. This allows for faster professional response while keeping the employee safely in an observational role. The store manager must be notified within 15 minutes of any suspected incident, whether or not security has been engaged. This ensures management awareness and supports coordinated decision-making about law enforcement involvement. All incidents must be logged in the digital incident system within 30 minutes of occurrence. The digital log must include a timestamp, a factual description, the products involved, the store area, actions taken, and where available, the CCTV timestamp reference so that footage can be efficiently located during any subsequent review. De-escalation training is now mandatory for all customer-facing employees on an annual basis. This training covers verbal techniques, body language awareness, recognizing escalation signals, and knowing when to disengage and withdraw for safety. Employee safety continues to take absolute precedence over any property consideration.

3. Customer Communication

Customer communication standards are further strengthened this year with the introduction of an empathy-first approach that recognizes emotional intelligence as a core professional competency in customer-facing roles. Research consistently demonstrates that

customers who feel emotionally acknowledged are significantly more likely to accept a negative outcome without escalation, complaint, or reputational damage to the organization. The empathy-first principle means that in any situation involving customer dissatisfaction, frustration, or complaint, the employee's initial response must address the customer's emotional state before moving to factual problem-solving. Employees must acknowledge how the situation feels for the customer before explaining what can or cannot be done about it. This is not merely a sequence preference; it is a fundamental shift in communication philosophy that places human connection before procedural correctness. The response framework is updated this year to: Empathize, Acknowledge, Clarify, Resolve or Escalate. The addition of the explicit 'Empathize' step at the beginning reflects the new priority. In practice, this means starting with statements such as 'I can see this has been really frustrating' or 'I completely understand why this would be upsetting' before proceeding to gather details or explain options. Mandatory acknowledgment phrases are introduced as a practical tool for employees who find empathetic language challenging or uncomfortable. Approved phrases include: 'I understand this is frustrating,' 'I appreciate your patience while we look into this,' 'I can see why you would be concerned about that,' and 'Thank you for bringing this to our attention.' Employees are encouraged to personalize these phrases over time but may use them verbatim as a starting point. The complaint response time target has been reduced from 10 minutes to 7 minutes. Complaints must be actively addressed or escalated within this window. A customer waiting in silence without acknowledgment for longer than 7 minutes represents a service failure that must be addressed through coaching. Employees must now offer their name and a reference number for any unresolved complaint so that the customer can follow up without repeating their story. This supports continuity, accountability, and demonstrates that the organization takes unresolved matters seriously. Phone interactions now formally follow the same communication framework as in-store interactions. Previously, phone interactions were loosely guided; they are now held to the same empathy-first standard. Quarterly communication skills workshops are introduced for all customer-facing staff. These workshops include role-playing exercises, recorded scenario analysis, and peer feedback designed to develop genuine competency rather than mere compliance with scripted phrases.

4. Documentation

Documentation practices undergo significant standardization this year with the introduction of mandatory digital templates for all incident categories. This move away from free-form reporting addresses inconsistencies identified in previous quality audits and ensures that critical information is captured systematically regardless of which employee completes the report. Standardized digital templates are now mandatory for all incident types including theft, customer complaints, refund exceptions, safety concerns, aggressive behavior, data-related issues, and escalation events. Each template is tailored to its incident category with relevant guided prompts that ensure category-specific information is

captured without requiring employees to remember what details are relevant in each context. Reports must be completed within the same shift in which the event occurred, with an ideal target of within 2 hours. The organization recognizes that immediate documentation, while preferable, is not always practical during busy trading periods, but the same-shift requirement ensures that reports are always completed while memory remains fresh and reliable. All templates include the following mandatory fields: incident category (selected from a dropdown), severity level (rated 1 through 5 with clear definitions for each level), precise timestamp of the event, timestamp of the report, parties involved (described non-identifyingly for customers, by ID for employees), factual description of events in chronological order, actions taken, current resolution status, and any follow-up required. A major operational improvement is the introduction of real-time notifications for managers when a severity level 3 or above incident is logged. This means managers are alerted immediately to significant events rather than discovering them during the next day's summary review, enabling faster response and support where needed. Monthly trend reports are now generated automatically by the documentation system and reviewed during team meetings. These reports highlight patterns in incident frequency, common categories, peak times, and resolution effectiveness. This data-driven approach supports proactive management rather than purely reactive incident handling. Cross-store incident pattern analysis is introduced at the regional level, allowing the regional management team to identify whether certain issues are isolated to specific locations or represent broader operational challenges requiring systemic intervention. The digital record retention period is extended to 4 years, supporting longer-term trend analysis, regulatory compliance requirements, and providing a comprehensive historical basis for legal or operational review.

5. Data Protection & Privacy

This year marks the full implementation of GDPR-aligned procedures across all store operations, representing a fundamental upgrade in how the organization approaches customer data protection. These procedures are not merely bureaucratic additions; they reflect legal obligations, ethical responsibilities, and the organization's commitment to earning and maintaining customer trust through responsible data stewardship. The use of personal devices for accessing, storing, transmitting, or photographing any customer data is now strictly prohibited without exception. This applies to all circumstances including emergencies, system outages, or situations where personal devices might seem more convenient. If a business function cannot be completed without customer data access and no authorized device is available, the function must wait until an authorized device becomes available or the situation must be escalated to a manager for alternative handling. ID verification is now required for all refund transactions exceeding 150 euro, reduced from the previous threshold of 200 euro. This tightening reflects fraud pattern analysis showing that the 150-200 euro range represented a significant vulnerability in the previous policy. The verification process must be conducted professionally, with a clear explanation to the

customer of why it is required and assurance that it is applied consistently to all customers. Customer data access now requires role-based authorization managed through the digital system. Each employee has access only to the data categories and customer records relevant to their role level and current responsibilities. Access logs are automatically generated and audited monthly by the compliance team for irregular patterns, excessive access, or unauthorized queries. The data minimization principle is formally adopted: employees must collect only the minimum customer data necessary for the current transaction or service interaction, and the organization must retain data only for as long as there is a legitimate business or legal requirement to do so. The collection of additional data 'just in case' or 'for future reference' without a specific authorized purpose is prohibited. Privacy notices must now be visibly displayed at all points of data collection within the store, including registers, service desks, customer service counters, and any online forms or digital interfaces used by customers. These notices explain what data is collected, why it is collected, how it is used, how long it is retained, and how customers can exercise their rights. Data protection training is now mandatory on a bi-annual basis (twice per year) for all employees. Violations of data access protocols or privacy procedures are treated as serious operational failures and may result in disciplinary proceedings up to and including termination depending on the severity and circumstances of the breach.